NEW YORK STATE PUBLIC SERVICE COMMISSION

CASE 19-G-0309

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY FOR GAS SERVICE

CASE 19-G-0310

PROCEEDING ON MOTION OF THE COMMISSION AS TO THE RATES, CHARGES, RULES AND REGULATIONS OF KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID FOR GAS SERVICE

CASE 18-M-0270

PETITION FOR APPROVAL PURSUANT TO PUBLIC SERVICE LAW SECTION 113(2), OF A PROPOSED ALLOCATION OF CERTAIN TAX REFUNDS BETWEEN KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID AND RATEPAYERS

REPLY STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

Dated: June 14, 2021

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REPLY STATEMENT OF THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID IN SUPPORT OF JOINT PROPOSAL

I. Introduction

In accordance with Presiding Administrative Law Judges' "Ruling Revising Procedural Schedule on Joint Proposal" issued May 24, 2021, in the above proceedings, The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI collectively referred to as the "Companies") hereby submit this Reply Statement in Support of the Joint Proposal dated May 14, 2021 ("JP") in the above captioned proceedings. As discussed more fully below, the JP is supported[1] or not

[1] The Companies have received statements expressing support ("SIS") for the JP from (i) the New York State Department of Public Service ("DPS") Staff ("Staff"), NY-GEO, and Environmental Defense Fund ("EDF"). Although not submitting statements in support, Estates NY Real Estate Services LLC ("Estates"), the Long Island Power Authority ("LIPA"), and Bob Wyman have all signed the JP.

opposed by[2] a significant number of normally adversarial parties to these proceedings representing a broad range of customer, environmental, and energy policy interests. Despite these varied interests, the Signatory Parties[3] have agreed to a comprehensive multi-year rate plan that advances the State of New York's clean energy goals and polices while ensuring continued access to safe, reliable, and affordable energy for the nearly two million customers in downstate New York who rely on the Companies to heat their homes and businesses. Over the course of more than two years of rate case proceedings and settlement negotiations that preceded the filing of the JP, numerous parties expressed their positions on a range of important issues, including the need to prioritize affordability in light of the COVID pandemic, improve safety and reliability, and advance energy policy in New York. While two years is far too long to resolve rate proceedings, this time ultimately enabled the Signatory Parties to carefully address these important issues in the JP. In total, the JP represents a reasonable compromise of competing interests within the range of results that would likely have arisen from litigation of these proceedings.

The opposition to the JP, in contrast, is limited,[4] contradictory, and supported neither by meaningful testimony[5] nor applicable New York State Public Service Commission ("Commission") policy or precedent. As discussed below, the opponents of the JP identify a number of provisions that they either oppose in their entirety or wish to see modified; however,

[2] The Public Utility Law Project of New York, Inc. ("PULP") filed a statement of neutrality indicating they neither opposed nor supported the JP. AARP filed comments indicating they support the new or enhanced customer-facing initiatives but oppose the independent consultant process to assess the need for the Long-Term Capital Capacity Projects discussed in the JP. Although not submitting statements in support, non-opposing parties include the Utility Intervention Unit of the New York Department of State's Division of Consumer Protection ("UIU") and Family Energy.

[3] The Signatory Parties are the Companies, Staff, EDF, Estates, NY-GEO, Bob Wyman, and LIPA.

[4] Statements in opposition ("SIOs") were filed by City of New York, Alliance for a Green Economy ("AGREE"), Sane Energy Project ("SANE"), Newtown Creek Alliance, All Our Energy, BSC Owner LLC for Spring Creek Towers ("SCT") (also known as Starrett City), and several individuals.

[5] In many cases, the parties opposing the JP, including AGREE, Newtown Creek Alliance, and All Our Energy, filed no testimony or exhibits during the evidentiary phase of these proceedings.

they lose sight of the fact that, in complicated proceedings such as these, a settlement will necessarily involve a series of compromises with no one party achieving everything they originally proposed. The Companies respectfully request that, in evaluating the JP, the Commission should afford far greater weight to the compromises that have been reached among multiple parties with diverse and often adverse interests who were committed to achieving a reasonable outcome for customers than it does to the concerns of parties who are largely focused on issues, that while important, are in many cases beyond the scope of these proceedings.

These cases are ultimately about ensuring safe and adequate gas service at fair and reasonable rates for the Companies' nearly two million gas customers.[6] The opposing parties' statements conspicuously fail to address how a litigated outcome would produce better results for customers as compared to the proposed settlement. Whether it is affordability and rate stability, safety, reliability, customer service, low-income programs, environmental remediation, or economic development, the opposing parties fail to explain how customers would fare better should the Commission fail to adopt the JP. Indeed, even several of the parties opposing (or not supporting) the JP acknowledge the many customer benefits achieved through the settlement, including: a rate freeze in the first year with "moderate" rate increases in subsequent years; new and enhanced customer initiatives; "excellent initiatives" to improve to the Companies' Energy Affordability Programs and customer protections; reductions to planned capital investments; programs to limit methane emissions; expanded earnings sharing provisions; support for geothermal deployments as non-pipes alternatives; and commitments to improved coordination with the City of New York on future capital projects.[7]

[6] Public Service Law §65(1).
[7] *See* City of New York SIO at 5-6; AARP SIO at 2-4; PULP SON at 2.

When it comes to energy policy and climate goals, the JP provides unquestionable benefits as compared to the expected outcome in a one-year, litigated case – which is not likely to produce any meaningful progress in these areas. Again, while the opposing parties fail to explain why a litigated outcome would produce better results, the Signatory Parties, including environmental and geothermal advocates, acknowledge the JP is an "important step in that right direction"[8] that will advance clean energy and decarbonization goals by (i) targeting gas usage reductions through incremental energy efficiency and other demand-side solutions; (ii) eliminating financial incentives around customer growth, ceasing marketing activities, and eliminating incentives for gas conversions; (iii) promoting alternative heating options by providing materials showing the comparative advantages of fuel choices; (iv) reducing system leaks and methane emissions, including commitments to enhance the Companies' capital planning processes by incorporating emissions assessments that will consider the impacts of proposed projects on greenhouse gas emissions ("GHGs") and opportunities for non-pipes alternatives as part of standard planning procedures; (v) developing several studies that will consider how the Companies' businesses will evolve to support the carbon reduction and renewable energy goals; and (vi) providing for earnings adjustment mechanisms that reward exemplary performance in the area of clean energy while conditioning recovery of certain capital projects on the Companies' achieving non-infrastructure targets (discussed *infra*). Whatever the opposing parties believe about the JP in terms of what it fails to achieve, the alternative is unquestionably worse in that there will be no progress on any of these important issues.[9]

[8] EDF SIS at 2.
[9] NY-GEO SIS at 1 ("As such, we have worked with other parties in this case, including the companies and staff, to negotiate important changes that can be built upon and have signed on to the Joint Proposal in order assure acceptance and implementation of those changes.").

As more fully discussed below, the opponents of the JP have provided no reasonable or persuasive basis for the Commission to modify the JP or decline to adopt it in accordance with its terms in its entirety. The JP – which was the product of more than two years of rate case proceedings and settlement negotiations – is in the public interest and should be adopted without modification.

II. Contrary To AGREE's Claims, The JP Is Consistent With State Law

Contrary to AGREE's claims,[10] the JP is in no way inconsistent with New York State law and policy regarding climate change and emissions limits, including the any provisions of the Climate Leadership and Community Protection Act ("CLCPA").[11] The JP does not violate any provision of the CLCPA, nor does it in any way prevent the State from achieving the emissions limits set for 2030 and 2050. Rather, the JP provides measures to reduce forecast gas sales that would otherwise be made consistent with the Companies' legal obligation to serve, while at the same time taking important foundational steps to meet the CLCPA's future emissions limits. AGREE's claims that the gas sales forecasts and levels of capital investment reflected in the JP are inconsistent with State law are without foundation.

AGREE's claim that the Companies' infrastructure investments should be delayed until the Companies develop "CLCPA compliant" sales forecasts has no basis in the CLCPA.[12] The CLCPA does not impose any restrictions on the usage of gas during the term of the rate plans reflected in the JP. Rather, the CLCPA sets statewide emissions reductions levels that must be met by 2030 and 2050[13] – dates that are beyond the terms of the proposed rate plans. The CLCPA

[10] AGREE SIO at 6-13.
[11] N.Y. Envtl. Conserv. Law § 75-0101 *et seq.*
[12] AGREE SIO at 10.
[13] N.Y. Envtl. Conserv. Law § 75-0107.

also establishes a framework to put the State on a path to achieve the 2030 and 2050 emissions limits, including the development of a scoping plan by the Climate Action Council and the promulgation of regulations by the Department of Environmental Conservation ("DEC").[14] Although work by these bodies is under way, both are still in development and do not currently impose any obligation or restriction on the Companies or their customers with respect to the use of gas.[15] AGREE's claims that the Companies should develop "CLCPA compliant" sales forecasts is baseless because the CLCPA does not set a standard for such compliance during the periods relevant to these proceedings.

AGREE's assertion that the Companies should be required to develop new "CLCPA compliant" forecasts[16] also unreasonably ignores the fact that the Companies' sales forecasts do nothing more than reflect the lawful choices of the Companies' nearly two million customers to continue to utilize natural gas. The Companies have legal obligations under the Public Service Law and the Transportation Corporations Law to provide safe, adequate, and reliable service to their customers.[17] These obligations have not been eliminated or curtailed by the CLCPA. The Companies' sales forecasts and long-term gas planning are designed to permit the Companies to meet their obligations.[18] It is critically important that the Companies' sales forecasts reflect the best available information concerning customers' expected demands for service. AGREE's claim

[14] *See* N.Y. Envtl. Conserv. Law §§ 75-0103, 75-0109.
[15] As the Commission recently recognized in Case 20-G-0101, Corning Natural Gas Corp., *Order Establishing Rates and Rate Plan* (Issued May 19, 2021) at 29 ("2021 Corning Rate Order"), there are numerous possible ways in which gas distribution companies' businesses may be affected by the CLCPA including "business as usual if the State's climate goals can be met through other means."
[16] AGREE SIO at 10.
[17] *See* N.Y. Pub. Serv. Law § 65(1), § 31 N.Y. Transportation Corp. Law § 12.
[18] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, *Order Adopting and Approving Settlement* (Nov. 26, 2019) at Exhibit A, § II.a & b.

that the Companies' sales forecasts should be reduced to "assume the state will successfully take steps to meet its legally mandated greenhouse gas reduction targets"[19] would unnecessarily and inappropriately require the use of sales projections that have no basis in current reality. As recognized by Staff and the Companies, the sales forecasts in the JP reasonably reflect the many factors affecting sales on the Companies' systems, including the CLCPA, the Companies' obligation to serve, and the impact of the COVID-19 pandemic.[20]

Further, AGREE's claims unreasonably fail to recognize that the JP takes important steps to mitigate the impacts of current gas sales on the environment and to set a foundation for future efforts to meet the State's CLCPA requirements. Specifically, the JP provides:

(1) that the Companies will manage their business with the goal of reducing billed gas usage, not engage in gas marketing activities, eliminate financial incentives for adding new customers, terminate any gas conversion and other incentive programs, and work with various parties (*i.e.*, electric utilities and trade organizations) to promote the adoption of geothermal and other alternative energy options;[21]

(2) more than $118 million of funding for energy efficiency and demand response programs and requires the Companies to meet the targets for these programs to obtain cost recovery of new long-term capacity projects;[22]

(3) that the Companies will develop (i) studies and reports that address the impact of the CLCPA and other climate policies of the Companies' business;[23] (ii) a study of the potential impacts that climate change policy and laws could have on

[19] AGREE SIO at 10.
[20] *See* Staff SIS at 28-29; Companies' SIS at 24-25.
[21] JP Section IV.7.5, 7.5.1, 7.5.2.
[22] JP Section IV.5.3, 5.3.3.
[23] JP Section IV.7.5.3.

depreciation rates;[24] and (iii) a report regarding the costs of main and service lines provided to new customers, and how all or a portion of those costs could be used in the future to provide applicants with an incentive to select electric thermal options such as heat pumps;[25]

(4) earnings sharing provisions that allocate a portion of the Companies' shared earnings within certain bands to offset Site Investigation and Remediation costs;[26]

(5) funding for the replacement of more than 650 miles of leak prone pipe over the period covered by the JP, a program that presents the Companies with the best opportunity to reduce methane emissions over the term of the rate plans;

(6) commitments by the Companies to develop less capital intensive means of reducing emissions in future years including a program to implement an Enhanced High Emitter Methane Detection Program that will target leaks of ten standard cubic feet per hour or greater for repair or replacement;[27]

(7) positive and negative incentives for the Companies to reduce system leaks,[28] with KEDNY and KEDLI committing to reduce their total leaks by 40 percent and 48 percent, respectively, from CY20 to CY24, and Earnings Adjustment Mechanisms with incentives for outperforming in areas of energy efficiency, including for low/moderate income customers, and gas peak reduction;[29] and

[24] JP Section IV.7.5.4.
[25] JP Section IV.7.5.7.
[26] JP Section IV. 4.3.
[27] JP Section IV.5.7.
[28] JP Section IV.10.2.
[29] JP Section IV7.8 and Appendix 6, Schedule 12 (KEDNY) and Appendix 7, Schedule 12 (KEDLI).

(8) a commitment by KEDNY to cease construction on the Metropolitan Reliability Infrastructure project and not resume work unless and until the Commission approves the project.[30]

As Staff notes, it would be infeasible or impossible to implement many of these programs/commitments in a one-year, litigated rate case absent the JP.[31]

Contrary to AGREE's assertion that the record is incomplete because it is not accompanied by an analysis of whether the JP's gas sales forecasts impede compliance with the CLCPA,[32] the record of these proceedings demonstrates that the JP appropriately balances the requirements and intent of the CLCPA with the need to establish rates, terms and conditions that will permit the Companies to comply with their continuing legal obligations to provide safe and reliable utility service. Further, the JP takes important steps to set the Companies on a path to promoting the State's emissions goals for 2030 and 2050, as set forth in the CLCPA. The JP is fully consistent with the CLCPA and other state law and should be approved.

III. The Companies' Capital Programs, As Reflected In The JP, Are Fully Supported By The Record In These Proceedings

In their statements in opposition to the JP, AGREE and SANE allege that the Companies' overall capital programs in the JP, or certain projects therein, lack support within the record and should not be approved.[33] These assertions are entirely without merit and belied by the actual record in these proceedings.

The Companies' Gas Infrastructure and Operations Panel and Gas Safety Panel filed numerous rounds of testimony and exhibits outlining the capital programs in these proceedings.[34]

[30] JP Section IV.5.3.1.
[31] *See* Staff SIS at 13.
[32] AGREE SIO at 9.
[33] *See* AGREE SIO at 5, 16; SANE SIO at 8-12.
[34] *See* Tr. 3702-3840; 4229-4581.

The testimony described the various categories of capital investments and specific projects within each category, identified the associated operational, reliability, safety, and other benefits, and sponsored white papers and other exhibits that provide considerable technical and cost information on the proposed capital projects. The Companies also answered hundreds of information requests submitted by DPS Staff and intervening parties, discussed the proposed projects at the technical conference held on May 30, 2019, and testified at the evidentiary hearings held in late February 2020. The Staff Gas Infrastructure and Operations Panel ("SGIOP") generally supported the Companies' capital plans in its direct testimony.[35] Indeed, the adjustments recommended by the SGIOP and Staff Pipeline Safety Panel ("SPSP") were primarily to reduce overall capital spending levels and, other than limited exceptions, those panels did not propose to remove any specific projects or programs from the Companies' capital programs.[36] The testimony of the Companies and DPS Staff, as well as various responses to information requests, were entered into the record in these proceedings during the evidentiary hearings.[37]

The Companies submit that the JP, when viewed in totality, meets the Commission's governing standard for review.[38] The JP reflects reasonable compromises of positions included in the record established in these proceedings and agreement among the parties on various issues discussed on the record. Notwithstanding, the JP is not required or intended to be a verbatim recitation of the record and need not include every detail of a project or program to be considered reasonable and consistent with the public interest. The Commission reviews the JP, together with the record, when applying the governing standard. Here, as discussed above, the record established

[35] Tr. 4643.
[36] *See* Tr. 4096-4123; 4647-52, 4655-69, 4672, 4675-82, 4684-85, 4714-30.
[37] *See generally* the transcripts from Days 8 and 9 of the Evidentiary Hearings.
[38] Cases 90-M-0225 and 92-M-0138, Opinion, *Order and Resolution Adopting Settlement Procedures and Guidelines* (issued March 24, 1992), at 30.

for the Companies' capital programs is robust and there is a multitude of evidence in the record that supports the approval of the capital programs reflected in the JP. The record demonstrates that the capital programs in the JP are reasonable and rational, consistent with applicable policies, represent a balance of company and customer interests, and will provide for the continued provision of safe and reliable service to the Companies' customers. Although AGREE and SANE may contest the capital programs, neither party has presented credible evidence or arguments that contradict the demonstrated need for these capital programs. Therefore, the Commission should adopt the JP's capital programs as consistent with the governing standard and supported by the record.

IV. AGREE's Assertion That The Companies' Investments In The Metropolitan Reliability Infrastructure ("MRI") Project And Liquified Natural Gas ("LNG") Are Inconsistent With Section 7 Of The CLCPA Mischaracterizes The Law And Is Wholly Unsupported By The Record

The JP memorializes the Companies' commitment to recalibrating their approach to capital planning by, among other enhancements, requiring that future projects will consider the impacts on GHGs and opportunities for non-pipes alternatives. This ensures that operating challenges will be met by a holistic approach that considers a range of options beyond installing more assets in the ground. That said, as the operators of energy networks relied on by millions of customers, the Companies must make the necessary investments to modernize their gas distribution systems to deliver on their mandate to provide safe and reliable service.

AGREE argues that the Companies' investments in the MRI Project[39] and LNG projects are inconsistent with Section 7 of the CLCPA because they purportedly disproportionately burden

[39] The Companies' SIS (at 60-64) addressed the regulatory history of, and operational need for, the MRI project.

disadvantaged communities.[40] Specifically, AGREE alleges that the MRI Project and the Greenpoint LNG Facility are located in areas with high concentrations of people of color and that the projects will have an adverse health impact on these communities.[41] These arguments are without merit and unsupported by any meaningful evidence in the record and are merely an attempt to mischaracterize the obligations of the CLCPA to undermine projects for which there is a demonstrated operational need.

The CLCPA is a groundbreaking piece of climate legislation that the Companies strongly support and are incorporating into their capital planning processes. Although the CLCPA establishes a set of criteria through which state agencies and regulators should review applications for new permits, licenses, and approvals, it does not alter the Companies' obligations to deliver safe and reliable service to customers consistent with the requirements of the Public Service Law. As the operators of gas networks that provide essential services to millions of customers, the Companies must complete infrastructure projects needed to maintain reliability, especially those projects needed to provide life-sustaining heat on the coldest days of the winter. Additionally, the CLCPA does not reverse regulatory determinations made prior to the statute's enactment (in July 2019), such as the Commission's approval of funding for the MRI Project in the Companies' previous base rate cases in Case 16-G-0058 and 16-G-0059, which was discussed in detail in Section 5.3.1 of the Companies' Statement in Support of the JP.[42]

Throughout this proceeding, and indeed in their statement in support of the JP, the Companies have explained why these projects are necessary for maintaining safe and reliable

[40] AGREE SIO at 10-11.
[41] *Id.* at 11-13.
[42] *See* Companies' SIS at 60-65.

service to customers in downstate New York.[43] DPS Staff's Statement in Support of the JP also outlines the benefits, need, and reasonableness of MRI Project and LNG projects included in the JP.[44] The record is devoid of any serious evidence, studies, or analyses that contradict the Companies' position regarding the need to complete these projects to continue the provision of safe and reliable service to the millions of customers in the Companies' service territories. Moreover, AGREE's arguments regarding the disproportionate impact on disadvantaged communities or purported adverse health impacts are without support in the record, relying on opinion pieces and general studies that are not specific to these projects. The Commission has before it a complete record that demonstrates the need for these projects, including the safety and reliability benefits, and why they are reasonable and in the public interest. Nothing in the record or the CLCPA leads to any other determination than adopting the JP provisions funding these projects.

V. The Opponents Of The Enhanced Process For Approving Rate Recovery For the Companies' Long-Term Capacity Projects Unreasonably Fail To Recognize That The JP Provides For An Additional Level Of Consideration Of The Interests Of Customers And Not An Abrogation Of The Commission's Responsibilities

The Companies' capital proposals in these rate proceedings included various on-system projects needed to ensure adequate peak day supply capacity to serve customers. As has been discussed throughout these cases and other Commissions proceedings, the Companies are facing a demand/supply gap that requires additional supply capacity and demand-side programs to avoid

[43] *See* Tr. 4280-82, 4319-23, 4349-50, 4356-57, 4371-72, 4461-64, 4491, 4497-98, 4551-52, 4567-68, 4572-76, Exhibit 735 (DPS-1091). The Companies note that the MRI Project will also help address emissions in the Company's service territory. In addition to enabling oil-to-gas conversions, MRI will retire approximately 200 feet of leak prone pipe, which will eliminate system leaks and reduce methane emissions. *See* Exhibit 735, at page 10 of 12.
[44] DPS Staff SIS at 70, 85-86.

future restrictions on new service connections.[45] Accordingly, the JP includes provisions to enable the Companies to pursue both infrastructure and non-infrastructure solutions to meeting long-term demand. The on-system infrastructure projects, referred to in the JP as the "Long-Term Capital Capacity Projects,"[46] include: Southeast Suffolk Project (a reliability project to address system needs in the eastern region of KEDLI's service area east and south of Riverhead, New York);[47] Riverhead Transmission Main Project (a reinforcement project that will install transmission main to address system reliability needs on the North Fork of Long Island);[48] Compressed Natural Gas ("CNG") Injection Sites (three CNG injection projects were identified in this case to support gas demand in KEDLI's service territory, including sites needed to support demand this past winter,[49] which are already in-service[50] and supporting customers);[51] and LNG Vaporization (two additional vaporizers located at the Greenpoint site that will provide incremental pump capacity from existing LNG facilities).[52]

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[45] In February 2020, under the terms of the settlement approved by the Commission in Case 19-G-0678, National Grid published its *Natural Gas Long-Term Capacity Report for Brooklyn, Queens, Staten Island and Long Island* that provided a detailed analysis of the natural gas capacity constraints in the region and the available options for meeting long-term demand. After reviewing the extensive feedback and conducting further analysis, the Companies published the *Natural Gas Long-Term Capacity Supplement Report* (May 8, 2020), which identified a portfolio of targeted infrastructure (*e.g.*, CNG and LNG) and non-infrastructure solutions (*e.g.*, energy efficiency and demand response) to meeting long-term demand. Again, in July 2020, as directed by the Commission's "Order Instituting Proceeding" (March 19, 2020) in Case 20-G-0131, the Companies filed a report identifying nearly their entire downstate New York service territory as potentially vulnerable to future service restriction because of forecast supply gaps over the next few years. As with the earlier reports, the Companies identified various distributed supply infrastructure projects under development (*e.g.*, upgrading vaporizers at existing LNG facilities) and system upgrades like the Northwest Nassau and Southeast Suffolk projects as available options for meeting long-term demand.
[46] JP Section IV.5.3.
[47] Tr. 4422.
[48] Tr. 4440.
[49] Tr. 4570-4571.
[50] All Our Energy argues that these facilities are now stranded because KEDNY has expressed an intention not to pursue a CNG filling station at its Greenpoint facility (All Our Energy SIO at 2). The argument is misplaced because these CNG injection facilities are supplied by third-party CNG suppliers, not the proposed Greenpoint facility.
[51] JP Section IV.5.3.3.
[52] Tr. 4575.

The Long-Term Capital Capacity Projects were presented in the Companies' direct and/or supplemental testimony, described in exhibits,[53] discussed during the evidentiary hearings,[54] and subject to numerous information requests. All parties had many months to conduct discovery and assess the need for these projects. Staff, having carefully reviewed the Long-Term Capital Capacity Projects, supports these investments to enable the Companies to continue providing safe and reliable service and ensure they can meet peak customer demand.[55] Staff's SIS[56] notes the need for these projects is not only supported by the Companies' peak supply/demand forecast presented in this case,[57] but also in the Companies' reports quantifying the need for additional capacity to serve firm customers in downstate New York, filed in Cases 19-G-0678[58] and Case 20-G-0131.[59]

Several parties[60] oppose Section 5.3 of the JP that provides for an independent engineering assessment for the Long-Term Capital Capacity Projects as a condition to cost recovery,[61] arguing that this incremental assessment is somehow an abdication of the Commission's responsibilities. Far from an abdication, the independent engineering assessment is an entirely incremental layer of review for projects that have already undergone careful evaluation in these rate proceedings. The

[53] Ex. 61 and Ex. 72 (Data Sheets for capitals investments).
[54] *See e.g.*, Tr. 4755-4756.
[55] New York City suggests "the Commission should confirm that Staff has vetted these projects as it would any other utility capital project and that the independent consultant's review will be incremental to Staff's review," (SIO at 9) which Staff's SIS (at 62-63) confirms is the case.
[56] Staff SIS at 62-63.
[57] Ex. 394.
[58] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, Natural Gas Long-Term Capacity Supplemental Report (dated May 8, 2020).
[59] Case 20-G-0131, In the Matter of Proceeding on Motion of the Commission in Regard to Gas Planning Procedures, *National Grid 90-Day Filing* (dated July 17, 2020).
[60] *See* AARP SIO at 4; AGREE SIO at 13; and City of New York SIO at 8.
[61] JP Section IV.5.3.

independent assessment process was incorporated in the JP for the very purpose of providing parties and other stakeholders with the benefit of updated information, additional technical assessment and more opportunity to provide feedback – which is over and above the review afforded in a typical rate process. To ensure the additional review produces a thorough and careful assessment of the Long-Term Capital Capacity Projects, the independent consultant must be a well-recognized and experienced expert in the areas of gas engineering and planning natural gas distribution infrastructure.

In opposing these provisions in the JP, the opposing parties fail to acknowledge the additional transparency and stakeholder engagement enabled by the independent assessment process. They also ignore the obvious customer benefits of a mechanism that will ensure the Companies are only pursuing the best available options for meeting customers' energy needs over the term of the rate plans. Indeed, the Long-Term Capital Capacity Projects have already undergone thorough review by the DPS Staff and other parties over the course of these multi-year rate proceedings. The Companies have produced thousands of pages of testimony and exhibits and answered hundreds of data requests regarding their proposed capital investments. No party can be heard to argue they were denied sufficient opportunity to conduct discovery on these projects.

Under the typical rate case process, these projects would be included in the capital forecast underlying rates without a mechanism for further assessment or public input during the term of the rate plan. Recognizing the heightened level of stakeholder interest in these projects,[62] however,

[62] Among the misconception on this point, AGREE (SIO at 16) presumes this provision was included because the Signatory Parties were unable to reach "agreement on whether a slate of projects is actually necessary to meet the Companies' customers' needs," which is inaccurate. In fact, Staff supports these projects and the other Signatory Parties have not opposed them. These provisions are intended to provide stakeholders who continue to question the Long-Term Capital Capacity Projects a measure of additional assurance that the projects are needed to meet customer demand.

the JP provides for an extraordinary level of additional review in the form of an independent engineering assessment. This assessment will consider the ongoing need for these projects based on several factors, including the operating need for the project to meet peak demand based on the latest available forecast, the safety or reliability benefits, viable alternatives to the projects, the cost of the projects under an "all-in cost" analysis, the GHG emissions attributable to the project, and comments and feedback from the public.[63]

The record in these cases demonstrates the Companies have a continuing need to identify viable projects for meeting customer demand to ensure the continued safety, reliability, and resiliency of their gas distribution networks. There is more than sufficient evidence to support a determination that the Long-Term Capital Capacity Projects are prudent solutions to meeting gas demand. While the Companies met their burden with regard to the need for these projects, they agreed to subject cost recovery to an additional independent review in the interest of promoting transparency and enabling greater public engagement. The Companies further agreed to condition recovery on achieving energy efficiency and other non-infrastructure targets to demonstrate a commitment to deploying non-infrastructure solutions to meet customers' energy needs. As EDF notes, these provisions "prioritizes non-infrastructure alternatives," "elevates stakeholder input," and are a "significant improvement over business as usual."[64] Rather than acknowledging that this mechanism is a novel approach to enhancing oversight, transparency, and stakeholder engagement, several parties suggest this mechanism places too much authority in the hands of the independent consultant, which is not the case.

[63] JP Section IV.5.3.
[64] EDF SIS at 11.

Several parties also suggest that the Companies have not demonstrated a need for these projects and even suggest the Companies are not facing a supply gap. This position is conclusively refuted by analyses presented in these rate proceedings and other Commission proceedings considering long-term gas planning (discussed above). The Long-Term Capital Capacity Project provisions, however, address this concern directly by ensuring, through additional technical analysis conducted by a qualified, independent consultant, that the projects are needed for meeting peak demand at the time proposed. Indeed, this mechanism allows for a means to validate the ongoing need for the Long-Term Capital Capacity Projects over the term of the rate plan[65] and to ensure these projects continue to be the best, most cost-effective options for meeting customers' energy needs. For these reasons, the provisions are in the best interests of the Companies' customers and should be approved in their entirety.

VI. New York City's Claims That The Capacity Demand Metrics ("CDMs") Are "Insufficiently Ambitious" Are Not Supported By The Record

New York City asserts that the CDMs – criteria that must be satisfied for the Companies to recover the costs of the Long-Term Capital Capacity Projects – are "insufficiently ambitious."[66] Although New York City acknowledges that it is "generally supportive of" the strategies described in the CDMs,[67] it nonetheless takes issue with particular aspects of the Energy Efficiency, Demand Response, and Electrification CDMs.[68] New York City's objections are without merit and should be rejected.

[65] The Commission also always retains the ability to examine whether it is just and reasonable to continue to reflect the costs of these projects in rates in future rate proceedings to the extent they are challenged by any party.
[66] New York City SIO at 6.
[67] *Id*.
[68] *Id*. at 6-8.

New York City's critique of the Energy Efficiency CDM is based in the assumption that the Companies can satisfy the Energy Efficiency CDM "simply by complying with NE:NY" targets, which it claims, will not promote a sufficiently rapid transition from fossil fuels.[69] This assertion is wrong on two accounts. First, although New York City states that it is unclear whether "simply [] complying with NENY" will satisfy the Energy Efficiency CDM, or whether the Companies must also achieve incremental efficiency targets to be approved as part of the Companies' forthcoming Demand Side Management Filings,[70] the JP proposes (at Section IV.5.3.2(i)) that the Companies will meet the targets established in the NE:NY Proceeding as modified by the Companies' future Demand Side Management filings.

In addition, New York City also unreasonably fails to recognize that even the NE:NY targets will prompt enormous expansion of the Companies' energy efficiency programs, as evidenced by budgets and program included in the Companies' System Energy Efficiency Plan ("SEEP") filings.[71] In this regard, the table below sets forth the Companies' NE:NY targets for calendar years 2021 – 2025:[72]

Year	KEDNY Gas (MMBTU)	KEDNY Gas YOY % Increase	KEDLI Gas (MMBTU)	KEDLI Gas YOY % Increase
2021	510,740	16%	433,821	79%
2022	674,740	32%	601,821	39%
2023	857,740	27%	756,821	26%
2024	1,082,740	26%	953,821	26%
2025	1,347,740	24%	1,129,821	18%

[69] *Id*. at 6-7; targets are set forth in Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative, *Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025* (January 16, 2020) ("NE:NY Implementation Order").
[70] *Id*. at 6.
[71] *See* Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative*, KeySpan Gas East Corporation d/b/a National Grid System Energy Efficiency Plan and The Brooklyn Union Gas Company d/b/a National Grid NY System Energy Efficiency Plan (filed April 1, 2021).
[72] *Id*. at Appendix A.

This data completely refutes New York City's assertion that the Companies' energy efficiency targets are "insufficiently ambitious." Furthermore, these targets are likely to be increased in the Companies' future Demand Side Management filings as part of the Companies' efforts to address their existing capacity demand gap.

The Long-Term Capacity Capital Projects will be undertaken as part of the Companies' ongoing initiatives to close the existing capacity demand gap using a combination of infrastructure and non-infrastructure strategies, as outlined in the Companies' Natural Gas Long-Term Capacity Supplemental Report.[73] The Long-Term Supplemental Report identified multiple scenarios to close the capacity demand gap; and each scenario will require significant incremental energy efficiency and demand response beyond the existing annual NE:NY targets.[74] Although the precise levels of energy efficiency and demand response will be more fully defined in the Companies' annual Demand Side Management filings, there is no question that these targets will be extremely "ambitious" and consistent with New York's public policy goals.[75]

In addition, New York City faults the Demand Response CDM for requiring too modest an annual increase in the Companies' peak demand reduction targets,[76] yet the Demand Response CDM reflects a demand reduction baseline based on the past winter's demand response program participation (2020-2021) and imposes a ten percent per year increase over that baseline for each year of the Rate Plan.[77] While New York City points to the proposed growth rate of KEDNY's

[73] Case 19-G-0678, *Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid*, Natural Gas Long-Term Capacity Supplemental Report (filed May 8, 2020) ("Long-Term Supplemental Report").
[74] *Id.* at 56-58.
[75] *See* JP at 35.
[76] New York City SIO at 6.
[77] JP at 48. Effectively, the ten percent will be compounded year-over-year.

Demand Response Demonstration ("DRD") project as evidence of untapped potential,[78] the growth rate during the early days of a program may not be indicative of a sustainable growth rate. KEDNY is aggressively exploring demand response, including adding additional program options (*e.g.* residential bring-your-own-thermostat programs) to engage with a larger percentage of its customers.[79] The ambition for growth needs to be balanced with the need for reliability and data to support that reliability. The DRD Project was a pilot, not a service-territory-wide program that would serve as an integral part of the resources that will be used to meet Design Day needs. Because the new portfolio of DR programs will be part of the Design Day resources, it is critical that metrics promoting growth be established at a level that will ensure reliability of the gas system during peak conditions. The CDM targets reflect a reasonable escalation that challenges the Company to continually increase the effectiveness and scope of its demand response programs.

Finally, while New York City criticizes the Electrification CDM as too limited an effort to bring about electrification (as a component of decarbonization),[80] this claim unreasonably fails to recognize that gas utility electrification efforts are in an early stage of development, and thus as a component of the CDM, the referral program is the appropriate metric. Existing NE:NY targets require aggressive deployment of a heat pump program ("Clean Heat") as part of a closely coordinated effort among all of the New York electric utilities.[81] The Companies' experience with the referral program and from the Clean Heat program will inform future electrification efforts.

[78] New York City SIO at 7.
[79] Case 20-G-0131, *Proceeding on Motion of the Commission in Regard to Gas Planning Procedures*, National Grid Status Report and Proposals for the Use of Demand-Reducing Programs to Address Supply and Demand Imbalances (filed Aug. 17, 2020) at 12-14 ("150-Day Filing").
[80] New York City SIO at 7.
[81] NE:NY Implementation Order at 93; *see e.g.* Case 18-M-0084, New York State Clean Heat Program 2020 Annual Report, Jointly Filed By: Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc.. Niagara Mohawk Power Corporation d/b/a National Grid, New York State Electric & Gas Corporation, New York State Energy Research and Development Authority, Orange and Rockland Utilities, Inc., and Rochester Gas and Electric Corporation (filed April 1, 2021).

New York City's criticisms unreasonably overlook the step-change in energy efficiency, demand response and demand-side management programs that the Joint Proposal will precipitate, guided by both the NE:NY Implementation Order and the Companies' Long-Term Supplemental Report. As reflected the Joint Proposal, to meet NE:NY targets and capacity demand, the Companies are committed to deploying significantly enhanced energy efficiency and demand response programs. The Demand Capacity Surcharge Mechanism ("DCSM") in the JP provides the vehicle for the Companies to expand programs in the near term beyond existing NE:NY annual targets.[82] The CDM will serve as a "backstop" to ensure that a minimum level of energy efficiency and demand response will be brought on line during the rate plans. Yet in no way does the CDM limit the Companies' ability to pursue significantly greater savings. The CDM is a floor, not a ceiling, for the level of program expansion that will be achieved. Given that the metrics are binary (met or not met), and that the consequence of not meeting even one metric is substantial, it is appropriate that they are set to be reasonably attainable in relation to the Companies' authorized budgets for energy efficiency and demand response programs.[83] The CDMs are thus set at appropriate levels and should be adopted as filed.

[82] JP at 34-36.
[83] *See* JP at 59-60. Failure to meet any one metric significantly reduces the Companies' ability to recover revenue requirements for the Long-Term Capital Capacity Projects in that year. Reductions are additive, with a percentage reduction per category and a sur-penalty for failure to meet any one metric. JP at 51. Thus, significant impacts on revenue requirements flow from failure to achieve any one metric. For example, failure to meet the Energy Efficiency metric in Rate Year Two would result in a 40 percent reduction in recovery of revenue requirements for the Long-Term Capital Capacity Project(s) in that year. JP at 51-52.

VII. New York City Has Provided No Persuasive Basis To Compel The Companies To File Increased Rates To Be Effective During The Stayout Period

Although New York City contends that the JP should be rejected because customers' bills will increase during the Stayout Period,[84] New York City offers no reasonable basis to support its apparent conclusion that customers will be better off if the Companies are essentially compelled to file new base rates to be effective April 1, 2023. As discussed in the Companies' Statement in Support,[85] the Companies face a considerable challenge in attempting to delay a future increase in rates for the period beginning April 1, 2023, for two primary reasons:

(1) there is no provision in rates to recover the unavoidable impact of inflation on the vast majority of the elements of the Companies' costs of service during the Stayout Period, a period in which many economic forecasters have expressed concern that inflation will increase;[86] and

(2) the Companies face an increasing cost of capital as demonstrated by the fact that the Commission recently approved an 8.8 percent return on equity in a one-year litigated rate proceeding for Corning Natural Gas Corporation[87] and the fact that Moody's recently downgraded the Companies' long-term debt securities.[88]

[84] New York City SIO at 11-13. The Stayout Period is the period beginning April 1, 2023, and ending on the earlier of the effective date of new base rates for each of the Companies or March 31, 2024.
[85] Companies' SIS at 126-128.
[86] As set forth in Appendix A to this Reply Statement, Morningstar's April 21, 2021 forecast projects that inflation will average 2.2-2.3 percent during the 2022-2024 period. Moreover, Moody's most recent forecast of inflation projects inflation of 2.12 percent during the twelve months ending March 31, 2024.
[87] 2021 Corning Rate Order at 46. In the 2021 Corning Rate Order, the Commission recognized (at 37) that multi-year rate plans typically command higher costs of equity to compensate customers for additional risk.
[88] *See* Moody's Press Release dated June 4, 2021, which is attached as Appendix B to this Reply Statement. KEDNY was downgraded from Baa1 to Baa2 while KEDLI was downgraded from A3 to Baa1. When the Companies filed these cases they were each rated A3 by Moody's. Tr. 3114. The record shows that downgrades of the Companies' debt recognize that the Companies are subject to increasing levels of risk and lead to increased costs of debt. Tr. 5211, 5250-51.

Both of these factors indicate that the Companies will face significant pressure to implement increased rates during the Stayout Period.

While the Companies cannot guarantee that they will be able to avoid increasing rates during the Stayout Period, New York City offers no reasonable justification for the Commission to incentivize the Companies to increase their rates by, for example, changing the Companies' property tax reconciliation mechanism to a downward only mechanism during the Stayout Period.[89] Contrary to New York City's claim that the projected rate impacts for the Stayout Period are "unconstrained,"[90] the provisions of the Stayout Period that preclude the Companies from recovering incremental capital and/or energy efficiency costs to the extent that their return on equity exceeds 8.8 percent provide a reasonable assurance to customers that they will not pay unreasonably high rates if the Companies are able to delay their next rate filings. Moreover, given the length of time that it has taken to resolve these proceedings, it is in the best interest of the Companies, Staff, and other parties to afford the Companies the opportunity to delay their next rate filings so that they can focus on implementing the provisions of the JP. The Commission has recognized that multi-year rate plans benefit customers by providing rate certainty and stability and benefit company managers and shareholders by providing regulatory certainty and the "avoidance of frequent rate case expense and process burdens that distract from day-to-day operational performance."[91] In this case, because of the extraordinary length of these proceedings, these benefits can only be fully realized by affording the Companies the opportunity to avoid increasing rates during the Stayout Period. Under these circumstances, New York City's request

[89] New York City SIO at 12.
[90] New York City SIO at 5.
[91] Case 16-G-0275, National Fuel Gas Distribution Corporation, *Order Establishing Rates For Gas Service* (April 20, 2017) at 63.

to reject the JP or modify it to impose provisions that would incentivize the Companies to file new rates to be effective at the end of Rate Year Three is not in the public interest and should be rejected.

VIII. The Rate Increases Proposed In The JP For SCT Are Reasonable And Should Be Adopted

In its statement in opposition, SCT argues that the JP should be rejected, at least in part, because the rate increases impacting SCT (KEDNY Service Classification (SC) 21, Rate 3) are disproportionately large compared to customers in other service classifications. SCT asserts that most of the increase is attributable to the DCSM and elimination of the Tax Reform Surcredit, both of which apply to all customers.[92] SCT also argues, however, that the demand charge component applicable to SC 21 should be eliminated or decreased.[93]

1. KEDNY's revenue allocation is reasonable, supported by the record, and should therefore be adopted.

As noted in the Companies' Statement in Support, the revenue allocation proposed in the JP does not adopt any one embedded cost of service study sponsored by any party in these proceedings.[94] Instead, the proposed revenue allocation reflects a balancing of interests, including bringing the service classes closer to the system average rate of return while mitigating severe impacts to any one group by using tolerance bands intended to identify service classifications that are below, within, and above the overall average rate of return (Appendix 3, Schedule 2.2, lines 11-14). From the Companies' perspective, as shown on Appendix 3, Schedule 2.2, the historic rate of return for the SC-21 Rate 3 customers was a **negative** 25.9 percent (line 8). Other service classifications that were below the historic average rate of return received a delivery rate increase

[92] SCT SIO at 3.
[93] *Id*., at 4.
[94] Companies' SIS at 29.

of 8.7 percent (line 19). To moderate the delivery bill impacts to SC 21, however, the Companies agreed to assign a delivery increase of 6.6 percent to SC 21, which is the same percentage increase that those service classes within the tolerance band received.

Further, the Companies note that KEDNY's SC 21 rates have not increased since 2008, which partly explains the negative rate of return for the service class. From the Companies' perspective, the proposed 6.6 percent delivery rate increase does not bring this service class to the system average rate of return. In fact, KEDNY would need to allocate $1.8 million in delivery revenue instead of the $0.121 million actually allocated to this service class only to bring the historic rate of return to zero percent, and $2.1 million to bring the class to the bottom of the tolerance band (relative return of 0.75 of the average return). This means that, at a 6.6 percent increase, other service classes will continue to subsidize this service class because SC 21 is still providing a negative rate of return. As noted above, the compromise of allocating 6.6 percent to SC 21 was in the interest of mitigating bill impacts. SCT's claim that SC 21 will experience an unfairly large delivery rate increase compared to other service classes is simply incorrect.

2. KEDNY's SC 21 Monthly Demand Charge is appropriate and should be adopted.

The Commission should also reject SCT's argument that the demand charge for SC 21 be eliminated or further reduced. The SC 21 Rate 3 consists of a customer charge (first ten therms), a seasonal volumetric charge, and a monthly demand charge. KEDNY did not increase the customer charge and included an equal increase to both the volumetric and demand charge. In addition, KEDNY applied the allocated deferral surcredit only to the volumetric charge.

SCT argues, in part, that a monthly demand charge for the SC 21 service class is not appropriate. As an initial matter, SCT did not file any written testimony or exhibit to support their argument, and the record does not reflect any testimony that supports SCT's position. In contrast,

the Companies have submitted multiple rounds of testimony and exhibits concerning rate design, answered numerous information requests from various parties on their proposal, participated in evidentiary hearings on the matter, and submitted written briefs to further support its position. The JP's proposed rate design, overall, is a compromise that represents a reasonable outcome among parties with conflicting interests and is otherwise consistent with results that could have been achieved in litigation.

The monthly demand charge for KEDNY's SC-21 Rate 3 customers was implemented 2003 in accordance with the Commission's Order issued and effective December 3, 2003 in Case 02-M-0515 ("2003 Order").[95] As discussed in the 2003 Order, the Companies implemented a separate demand charge for large customers because the cost causing characteristics and operating usage of baseload distributed generation ("DG") units can vary significantly enough to warrant separate sub-classes of a baseload DG service option. As a result, the Companies established different rates for DG units less than 5 Megawatts ("MW") and for customers 5 MW or greater. In addition, the 2003 Order found that, for customers over 5 MW, the level of use is significant enough to impose demands on the system, and thus the Commission required the Companies to impose a separate demand charge for DG customers over 5 MW. For customers over 5 MW, KEDNY assesses a monthly per MW demand charge based on the DG unit's boilerplate rating. While SCT suggests that a demand charge is not appropriate because "no other cogeneration rate classification within New York State faces paying a demand charge on its gas consumption,"[96] SCT's assertion is factually inaccurate, as other major gas utilities assess a per-therm demand

[95] Case 02-M-0515, Proceeding on Motion of the Commission to Establish Gas Transportation Rates for Distributed Generation Technologies, *Order* (Issued December 3, 2003).
[96] SCT SIO at 3.

charge, albeit based on different criteria such as maximum daily quantity or peak demand.[97] Moreover, a comparison of the rate structure for DG customers in other service territories is irrelevant because the monthly demand charge is only one component of the rate design, and any comparison would need to look at the other components of the SC 21 Rate 3 rate structure and consider them holistically.

3. Bill impacts show that SCT is not receiving a disproportionate bill increase

The average delivery and total bill impacts for average use customers on SC 1A, SC 1B, SC 1B-DG, SC 3 and SC 21 Rate 3 are shown in the table below, which can be found in Appendix 3, Schedules 4.1 and 4.2.

	Average	RY1 vs RY2		RY2 vs RY3	
Service Class	Monthly Usage	Delivery % Inc	Total Bill % Inc	Delivery % Inc	Total Bill % Inc
SC1A Res Non-Heat	9	7.57%	6.74%	2.00%	1.78%
SC1B Res Heat	102	5.08%	3.77%	4.61%	3.26%
SC1B-DG Res DG	199	15.43%	7.01%	6.54%	3.08%
SC3 Multi-Family	1,599	5.20%	3.04%	5.08%	2.66%
SC21-3 Comm DG (Apr-Oct)	1,365,622	12.07%	2.46%	14.35%	2.29%
SC21-3 Comm DG (Nov-Mar)	1,365,622	10.70%	2.42%	13.00%	2.27%

As shown, the delivery increases for the service classes do vary by service class, but the total average bill increases for the SC 21 Rate 3 class are in line with the other service classifications and in fact, are lower than some when considering the total bill impact. KEDNY was not able to recreate the SCT bill impacts that were included with SCT's Statement in Opposition based on the information included in Exhibit 1 thereto. The Companies note, however, that according to the footnotes included in SCT's Exhibit 1, SCT's analysis for the SC 21 Rate 3 portion of SCT's estimated bill included Delivery Rate Adjustment ("DRA") components related to revenue reconciliations that are based on historic amounts. KEDNY does not include a forecast

[97] *See, e.g.*, Consolidated Edison Company of New York, Inc.'s tariff, PSC No. 9, Leaf 154.8 and 154.9, and Central Hudson Gas & Electric Corporation's tariff, PSC No. 12, Leaf 206 and 207.

of DRA revenue reconciliations in the estimated bill impacts because such reconciliations are assumed to be zero in the rate years (actual revenue is equal to forecast revenue) and in fact can either be charges or credits. The bill impact tables included in the JP reasonably include only the base delivery charges and any surcharges that the Company has forecast, including new DRA components such as the DCSM.

In addition, as discussed above, while KEDNY's revenue allocation proposal moderated the delivery bill impacts for the SC 21 service class, as SCT acknowledges in its Statement in Opposition,[98] the larger portion of the delivery increase is the SC 21 service class related to the DCSM. The DCSM includes the recovery of costs associated with the Company's demand response programs, incremental energy efficiency programs, and the cost of Long-Term Capital Capacity Projects. The costs associated with the demand response programs and the Long-Term Capital Capacity Projects were allocated to the service classifications using a peak demand allocator, and the energy efficiency costs were allocated to the service classifications based on total therm deliveries. There are only two customers in the SC 21 Rate 3 service classification, and they are both large volume users. Thus, they are seeing a larger percentage increase from the DCSM surcharge than customers in other service classifications whose monthly usage is much lower. This result is reasonable because all customers, including SC3 and SC 21 customers, will benefit from the portfolio of solutions described in the JP to meet peak demand and address the gap between the Companies' supply of natural gas and the forecast of demand from firm customers. In addition, the Companies expanded eligibility to participate in the Companies' energy efficiency programs to include SC 21 customers in the JP, and their participation in some

[98] SCT SIO at 3.

of these programs can potentially reduce the overall volumetric delivery charges and supply charges for these customers.

In sum, SCT's argument that KEDNY's revenue allocation produces an inequitable result for SC 21 is inaccurate and not supported by the record. Further, its argument for eliminating or reducing the monthly demand charge is without merit and should be rejected. Based on the foregoing, the Companies submit that the Commission should adopt the proposed revenue allocation and rate design proposed in the JP.

IX. Claims That Negotiations In This Case Proceeded In Bad Faith Are Without Foundation

While certain individual parties assert that the JP "was largely negotiated in bad faith,"[99] nothing could be further from the truth. The lengthy negotiations that led to the JP were open to all parties, fully complied with the Commission's settlement policies and guidelines, and reflected unprecedented efforts by the Companies, Staff and other parties to accommodate diverse interests. Indeed, even certain parties who oppose or take no position concerning the JP acknowledge that it provides positive benefits to customers.[100]

The parties who assert that negotiations proceeded in bad faith appear to believe that the Companies should have paused a significant amount of their capital spending programs while negotiations proceeded. This is simply not possible. The Companies have obligations to continuously provide safe and adequate utility service and a duty to proceed with projects that they believe are necessary to the fulfillment of those obligations. While the opponents of the JP point to thousands of public comments that opposed various aspects of the Companies' capital plan as a

[99] *See* Wood, Spindelman, Thompson and Canepa SIO at 4.
[100] *See* NYC SIO at 5, PULP Statement of Neutrality ("there are aspects of the JP that specifically recognize key concerns we raised in our testimony… and in previous KEDNY and KEDLI rate cases, which we believe could significantly enhance consumer protections throughout the rate plans.") at 2.

basis on which the Companies should have paused their capital programs,[101] these parties unreasonably fail to recognize that the Companies' obligation is to manage their business in a manner that is in the best interest of the almost two million customers who demand and utilize gas service every day. The Companies submit that by continuing to implement their capital programs during the pendency of negotiations, they acted in the best interest of their customers, not in bad faith.

X. Conclusion

The JP demonstrates that adversarial parties in rate proceedings can reach fair and reasonable outcomes even when there is significant disagreement on the best approach to achieving shared, long-term goals. For all the foregoing reasons, as well as those set forth in their Statement in Support, KEDNY and KEDLI respectfully request the Commission to adopt the terms of the JP in their entirety.

Respectfully submitted,

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Dated: June 14, 2021

[101] *See* SANE SIO at 8-9.

Appendix A

Morningstar Stock Strategist Industry Report dated April 21, 2021

STOCK STRATEGIST INDUSTRY REPORTS

We're Expecting Higher GDP Growth--and Higher Inflation Too

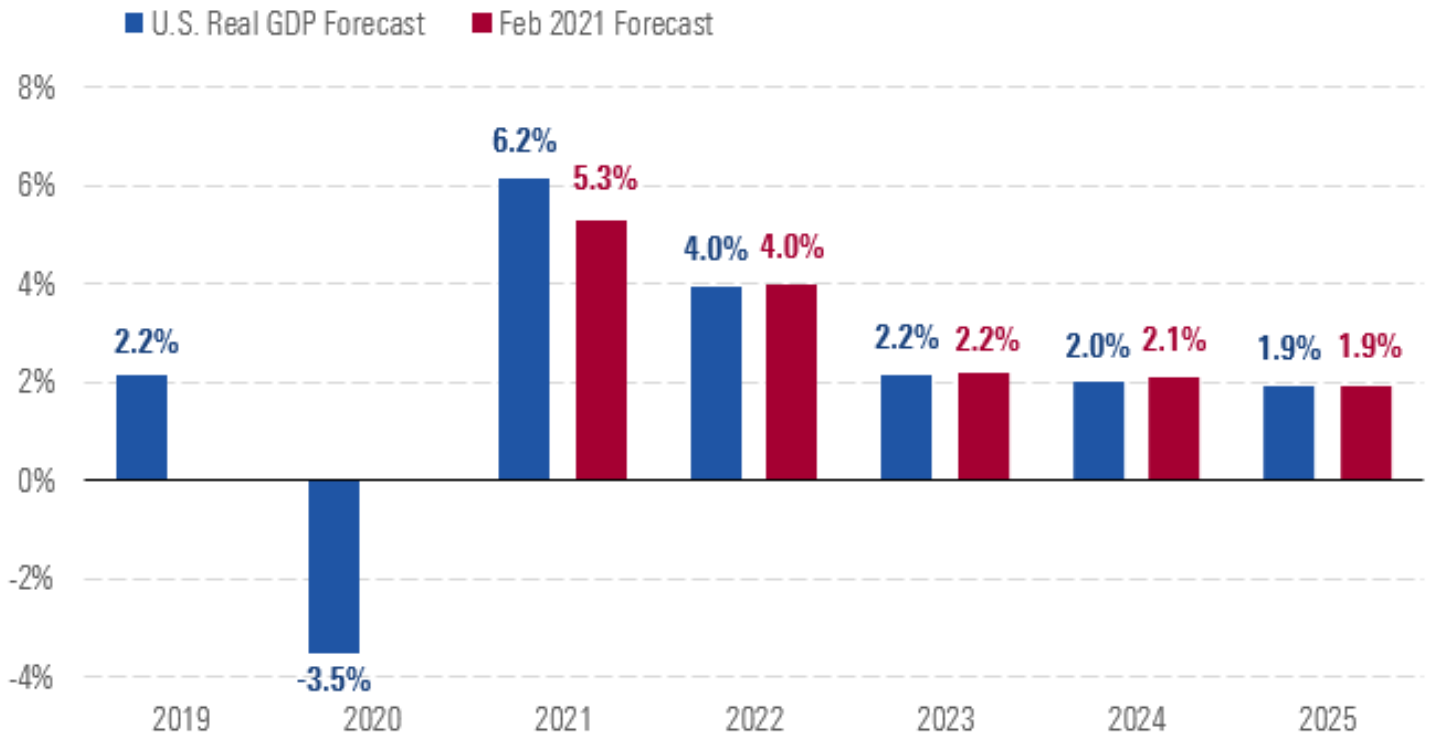
We've increased our U.S. GDP growth forecast.

Preston Caldwell
Apr 21, 2021

We're increasing our 2021 U.S. real GDP growth forecast to 6.2% from the 5.3% we expected in our last update in February. The main reason for the upward revision is a faster-than-expected U.S. consumer recovery. We now expect 7.5% real consumption growth in 2021 versus 6% previously.

We're also increasing our 2021 inflation forecast, although we think the Federal Reserve will have little trouble keeping inflation under control.

We're Increasing Our 2021 U.S. Real GDP Forecast on Stronger Consumer Demand



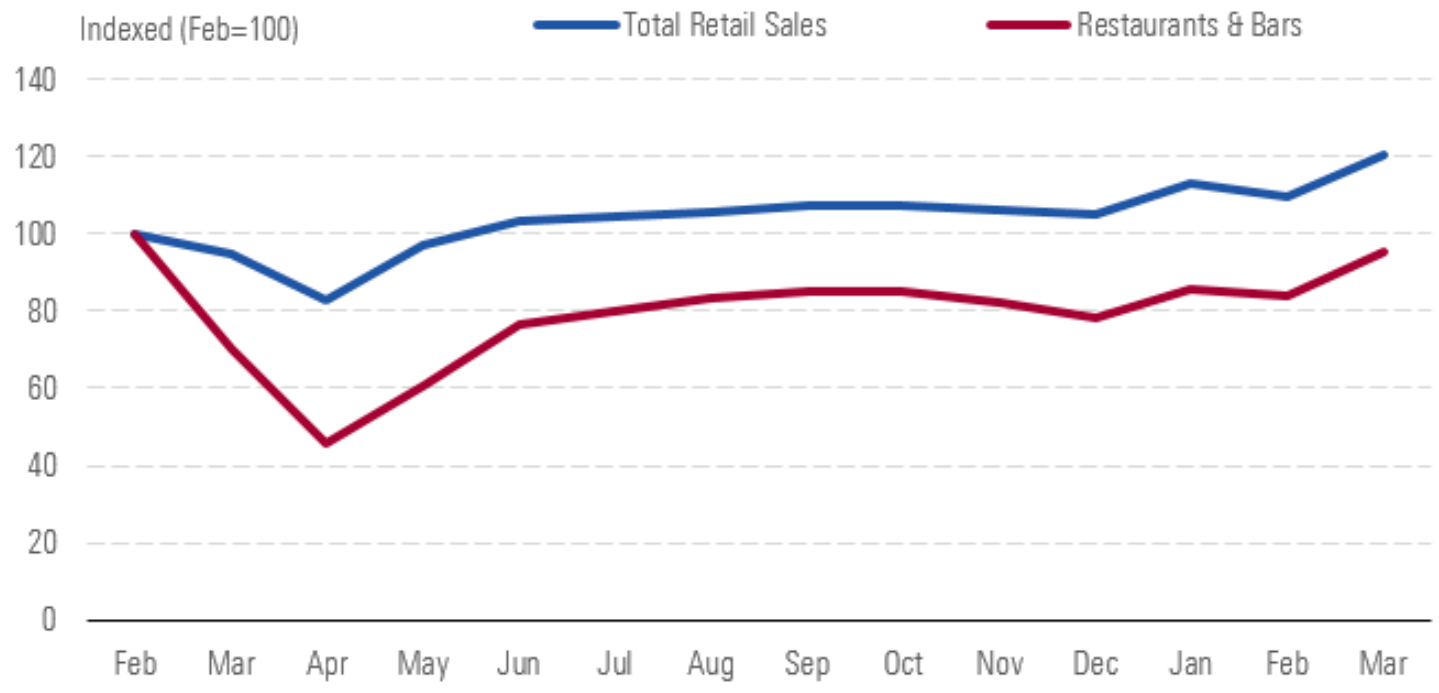
Source: U.S. Bureau of Economic Analysis, Morningstar.

U.S. Consumer Data Points to Faster-Than-Expected Recovery

Since our February update, the consumer data released in the last two months has been surprisingly strong. First, goods consumption/retail sales has been stronger than we expected, in part because consumers have spent a large share of their stimulus checks. Retail sales jumped in January and March in response to each wave of stimulus check disbursement.

Second (and equally important), it appears that the consumer services recovery is now proceeding rapidly. While personal consumption in services was essentially flat in January and February, we expect March data (to be released at the end of April) will show a sharp uptick. The restaurants and bars item of the retail sales release shows a 13% gain in March, with spending now just 5% below prepandemic levels. Likewise, the recovery in U.S. airline traffic indicates a normalization of consumer services behavior.

Retail Sales Buoyed by Stimulus Checks, Especially in January and March



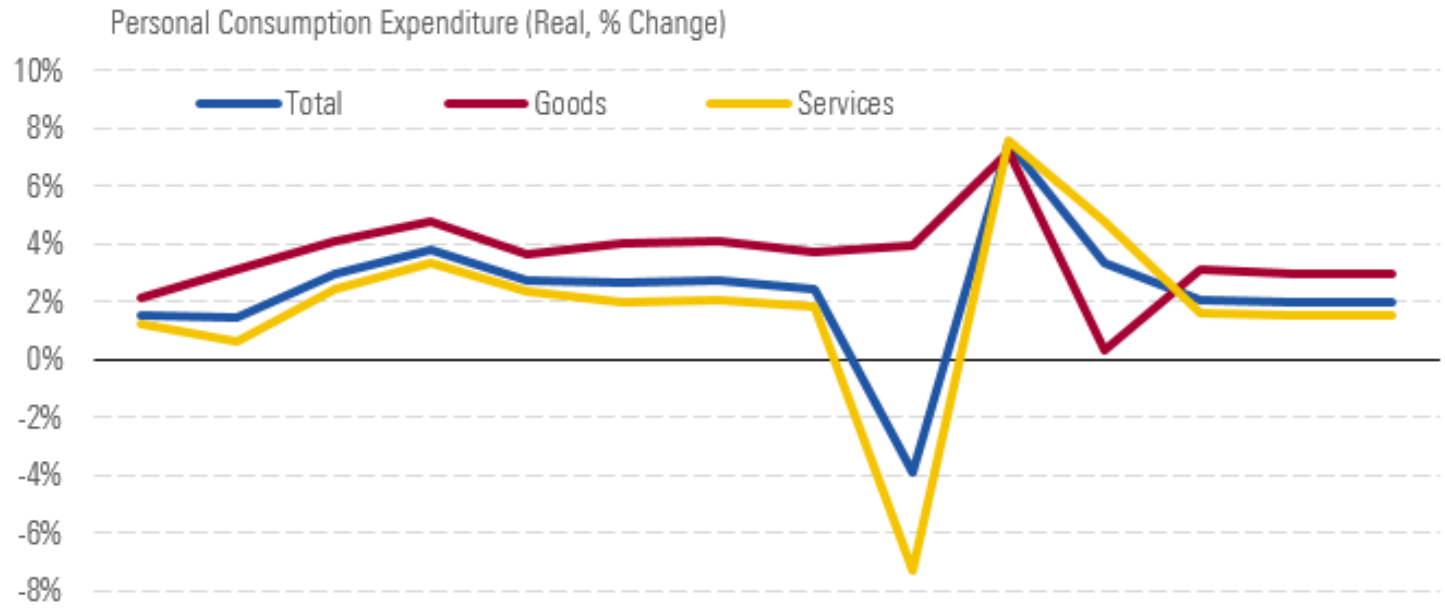
Source: U.S. Bureau of Economic Analysis, Morningstar.

Originally, we had thought there was a good chance that consumer services could prove sluggish until the arrival of herd immunity in the United States (which we expect to occur around the beginning of June). By contrast, the recent data suggests that consumer services spending may recover most of the way to prepandemic levels even before the arrival of herd immunity. With around 40% of Americans having received at least the first dose of a COVID-19 vaccine as of April 19 (and average new cases having fallen around 70% since the January peak), consumers are responding to the diminished risk of illness by normalizing their behavior.

As we have discussed before, a consumer services recovery is vital for the overall economy. As of the fourth quarter of 2020, consumer services expenditure accounted for the entire U.S. GDP shortfall versus prepandemic levels. Also, a consumer services recovery should lead to a near-complete recovery in the job market.

Altogether, we now expect 7.5% real consumption growth in 2021 versus 6% in our last update in February. Faster consumption growth is the main driver of our increased overall GDP forecasts. We now expect real GDP growth of 6.2% in 2021 versus 5.3% previously. Our growth forecasts for 2022 and later years are largely unchanged. We now expect U.S. real GDP growth to surpass our pre-COVID forecast by 2% by 2024.

We Project 7.5% Real Consumption Growth in 2021





Source: U.S. Bureau of Economic Analysis, Morningstar.

Our latest GDP forecasts are roughly in line with the consensus average, which calls for real GDP growth of 6.1% in 2021 and 4.4% in 2022. Some forecasters expect up to 200 basis points greater growth than we do through 2022. However, we're skeptical as to whether the economy's productive capacity (or potential GDP) can accommodate an increase in output to that level. Fiscal stimulus and other factors boosting the demand side of the economy are only important insofar as GDP is below its potential level, meaning there's still slack in the economy, or an "output gap." We think there's a good chance the output gap will be closed by 2022.

Increasing Our 2021 Inflation Forecast

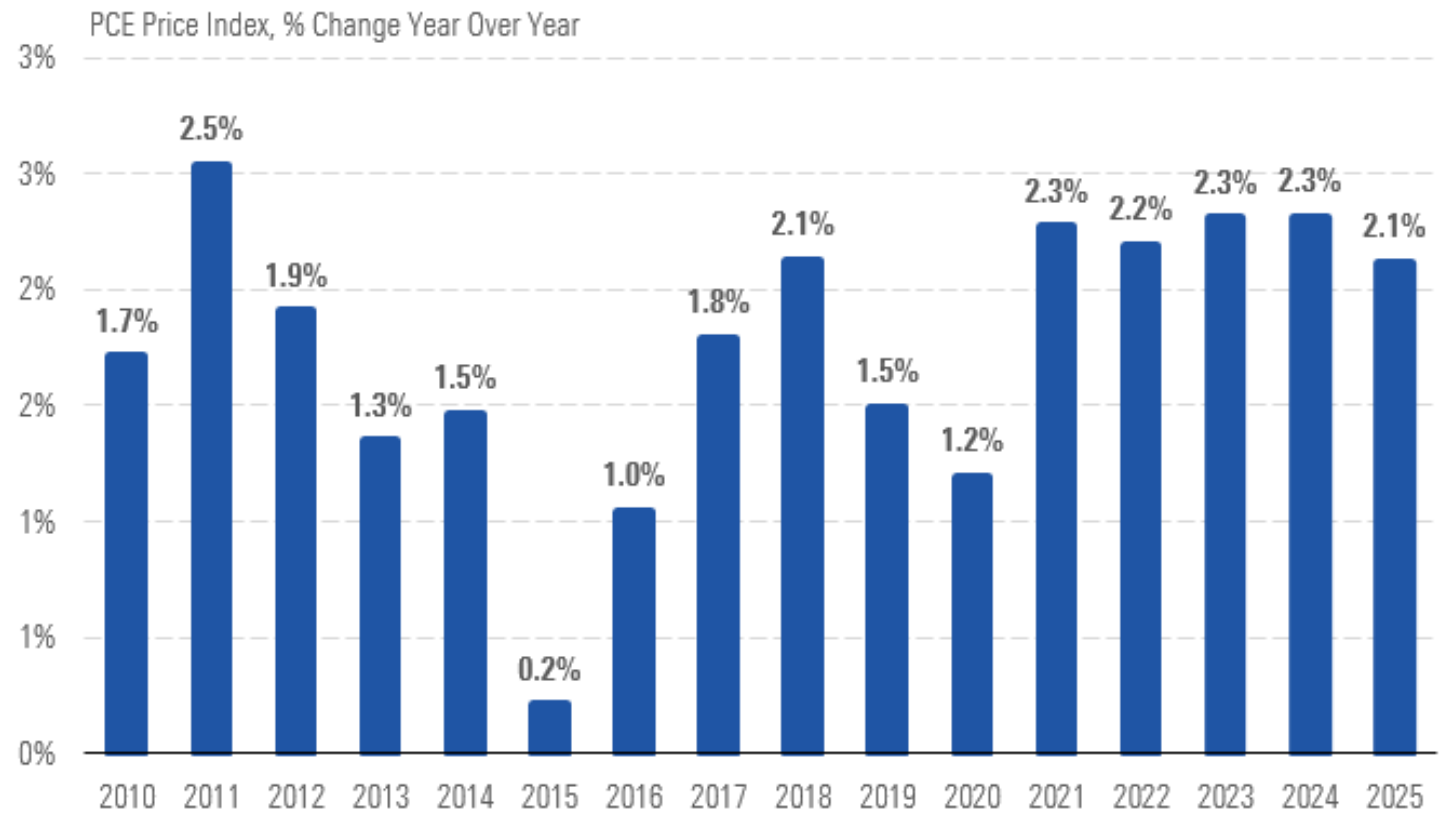
Market-implied inflation expectations have soared in recent months. The five-year break-even inflation rate has surged, reaching 2.55% as of mid-April.

Also, heightened inflation expectations have finally begun playing out in the consumer price data, particularly for March. While the total Consumer Price Index had been increasing for several months on the back of recovering energy prices, core CPI growth was fairly muted until posting 0.3% month-over-month growth in March. Somewhat surprisingly, the uptick was driven by consumer services, despite the breakneck pace of consumer goods demand.

We still think that these growing pricing pressures reflect largely transient factors. While extraordinary demand for goods may generate pricing pressure in coming months, the eventual shift of consumer demand from goods to services should serve as a relief valve. Also, while the rapid rehiring underway in the services sector could induce wage inflation, this could moderate once unemployment benefits expire later in 2021.

With that said, our increased forecast for 2021 GDP growth will translate into higher inflation in 2021 than we originally expected. We now expect inflation (as measured by growth in the Personal Consumption Expenditures Price Index) of 2.3% in 2021 versus 1.8% previously.

We Expect Inflation to Exceed 2% Over Next Few Years



Source: U.S. Bureau of Economic Analysis, Morningstar.

Overall, we forecast a 2.2% average PCE inflation rate over the next five years. This is roughly in line with the expectations implied by the 2.55% five-year break-even rate, as the latter is based on the CPI, which historically has grown 20-50 basis points faster than the PCE Index on an annual basis. The closing of the output gap could occur as soon as 2022 and will exert consistent upward pressure on prices.

While the Federal Reserve is likely to let inflation run slightly above its 2% long-run target over the next few years, this is consistent with its new average inflation targeting program. We think the Fed will have little trouble taming inflation before it gets out of control.

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Appendix B

Moody’s Investors Service Rating Action dated June 4, 2021

MOODY'S
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Rating Action: Moody's downgrades National Grid's two utilities in downstate New York; outlook stable

04 Jun 2021

London, 04 June 2021 -- Moody's Investors Service (Moody's) has today downgraded the long-term issuer and senior unsecured ratings of KeySpan Gas East Corporation (KEDLI), to Baa1 from A3, and The Brooklyn Union Gas Company (KEDNY), to Baa2 from Baa1. Concurrently, Moody's has changed the outlook on both KEDLI and KEDNY to stable from negative.

The two regulated utilities, local gas distribution companies (LDCs) serving customers in "downstate" New York, are ultimately owned by National Grid plc (National Grid, Baa2 stable).

This rating action follows the 14 May 2021 filing by the companies of their joint proposal (proposed rate case settlement) [1] with the New York energy regulator, the Public Service Commission (PSC), for a three year rate plan running from April 2020 -- March 2023. It is envisioned that the PSC will approve the settlement in August with the new rate plan applying retrospectively from 1 August 2021. A true-up ("make-whole provision") will take account of the delay in implementing updated rates.

RATINGS RATIONALE

RATIONALE FOR DOWNGRADE OF RATINGS

The downgrades reflect Moody's expectation that KEDLI and KEDNY will not demonstrate financial metrics commensurate with the previous A3 and Baa1, respectively, rating levels over the period to March 2024.

Despite both KEDLI and, particularly, KEDNY undertaking large capex programmes in recent years, both companies have been granted only modest rate increases under the proposed rate case settlement. Rate increases are 0% in rate year 1 (April 2020 -- March 2021) and around 2% in rate years 2 and 3. Significant rate levelisations, through the utilisations of credits; and the continuation of allowed returns below the levels for US distribution utilities operating outside New York, due to the preservation of a thinner equity layer and a cut in allowed return on equity (ROE), moderated the extent of rate increases.

Moody's expect KEDLI and KEDNY to maintain cash flow from operations pre-working capital (CFO pre-W/C) to debt of around 16% and 14% respectively over the next three financial years (ending March 2022 to March 2024, FY2022-24), as compared to the rating agency's minimum guidance for the Baa1 and Baa2 rating levels of 15% and 13% respectively. The joint proposal will see a narrowing of the differential in financial profile of the two LDCs, though KEDLI will remain stronger.

In recent years, KEDNY has exhibited a much weaker financial profile than KEDLI, and the weakest amongst National Grid's US regulated businesses, as evidenced by CFO pre-W/C/debt averaging 10% over FY2018-20, compared to 19% for KEDLI over the same period. In Moody's view, KEDNY's cash flow metrics were depressed by its (1) very large capex programme, with capex (incl. cost of removal) averaging 20% of rate base over the last four financial years; and (2) weak operating performance -- achieved ROE averaged 7.4% compared to 9.5% for KEDLI and authorized ROE under the current plan of 9.0%. Moody's expects the higher operating cost allowances and the fall in annual capex requirements under the new rate plan will support a modest improvement in KEDNY's financial profile. Conversely, KEDLI's financial profile will be weakened by (1) a cut in operating cost allowances; (2) a continuation of elevated capex requirements; and (3) the cessation of support to cash flow metrics from the back-loading of rate increases in the current rate plan.

Social considerations are incorporated into the rating action as Moody's believes it was the desire to moderate consumer bill increases, in the context of the pandemic, that prolonged settlement discussions and resulted in the significant rate levelisations through the utilisation of regulatory liabilities (deferred credits), particularly at KEDNY (-$17m Rate Year one [RY1]; -$24m RY2; and -$54m RY3). The settlement allows for a shortening of assumed asset lives for a portion of KEDLI's assets, accelerating cashflows and reducing the stranding risk for the gas assets. However, even with the slight shortening in KEDLI's regulatory asset life, we expect depreciation as a proportion of rate base to be around 3% - below the level of National Grid's other US subsidiaries. Moody's considers that KEDNY has less flexibility than KEDLI to accelerate cash flows in future

rate case settlements as KEDNY will incur significant additional costs in rectifying contaminated sites which places additional upward pressure on rates.

KEDLI's and KEDNY's Baa1 and Baa2 ratings also factor in Moody's assessment that, as gas companies, KEDLI and KEDNY have a higher business risk profile than, for example, electric utilities in the state given an ambitious decarbonisation agenda and modest funding for energy transition projects (other than for leak prone pipe). Finally, KEDNY's financial profile, whilst still weak, has been bolstered by its parent company (National Grid USA, Baa2 stable) making several equity injections into the company in recent years in support of its large capital investment program. This has moderated the extent of the increase in KEDNY's leverage and ensure its gearing stayed closely aligned with regulatory assumptions.

RATIONALE FOR STABLE OUTLOOK

The stable outlook reflects Moody's expectation that (1) a rate case settlement will be enacted in summer 2021 which contains no material changes to the joint proposal filing; and (2) both KEDLI and KEDNY will maintain a financial profile over the remaining primary term of this rate plan in line with guidance for the current rating.

FACTORS THAT COULD LEAD TO AN UPGRADE OR DOWNGRADE OF THE RATINGS

Upward rating pressure is not currently anticipated for either KEDLI or KEDNY. However, upward rating pressure for KEDLI could arise if the company was expected to consistently exhibit CFO pre-WC to debt of at least 19% and political intervention moderated. Upward pressure for KEDNY could arise if the company was expected to consistently exhibit CFO pre-WC to debt of at least 15% and political intervention moderated.

Downward rating pressure on KEDLI's ratings could arise if, following the forthcoming rate case settlement, Moody's did not expect the company to exhibit CFO pre-WC to debt of at least 15% under the rate plan. Given National Grid's track record of supporting KEDNY in recent years, Moody's does not presently anticipate that the rating of KEDNY will fall more than one notch below the consolidated credit quality of the National Grid group, currently Baa1. Consequently, downward rating pressure would require (1) KEDNY's CFO pre-WC to debt to be persistently below 13%, due to weak operating performance, and (2) a deterioration of the consolidated credit quality of the National Grid group which is not currently expected.

KEDLI and KEDNY are local distribution company (LDC) engaged in the transportation and sale of natural gas to around 1.9 million customers in "downstate" New York. Both companies are regulated by the New York Public Services Commission (NYPSC) and are ultimately owned by National Grid plc (Baa2 stable) via intermediate holding companies National Grid North America Inc. (Baa2 stable) and National Grid USA (Baa2 stable). KEDLI and KEDNY had a combined rate base of $8.1 billion at 31 March 2021, almost 30% of National Grid's rate base in the US and around 14% of the National Grid group's total regulated assets.

The principal methodology used in these ratings was Regulated Electric and Gas Utilities published in June 2017 and available at https://www.moodys.com/researchdocumentcontentpage.aspx?docid=PBC_1072530 . Alternatively, please see the Rating Methodologies page on www.moodys.com for a copy of this methodology.

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For further specification of Moody's key rating assumptions and sensitivity analysis, see the sections Methodology Assumptions and Sensitivity to Assumptions in the disclosure form. Moody's Rating Symbols and Definitions can be found at: https://www.moodys.com/researchdocumentcontentpage.aspx?docid=PBC_79004.

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At least one ESG consideration was material to the credit rating action(s) announced and described above.

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REFERENCES/CITATIONS

[1] http://documents.dps.ny.gov/public/Common/ViewDoc.aspx?DocRefId=(049A7777-4BE8-41FC-B958-6D9EE1C13DD3)

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